

Competition Case Research Assistant

ASSISTANT

Hello! I'm your Competition Research Assistant. How can I help you today?

YOU

get me a case of horizontal agreements in EU financial sector

ASSISTANT

Here are relevant cases worth your time based on your search query.

Sache AT.40324 – Europäische Staatsanleihen ...

Case Background

- The allegation made in this case involves participation in a single, continuous infringement of competition law through collusive behavior among banks. (Page 169)
- The companies targeted in this case include the Bank of America and other unnamed banks that participated in the alleged collusion. (Page 154)
- The case was initiated in the year 2017, as indicated by references to the timeline of events and the proceedings. (Page 258)
- The violation pertains to agreements and coordinated practices that contravened Article 101 of the Treaty on the Functioning of the European Union (TFEU), which prohibits anti-competitive agreements. (Page 157)
- This violation was conducted through the use of multilateral chatrooms where traders from various banks engaged in discussions that facilitated collusion, thereby distorting normal competitive behavior in the market. (Page 157)
- Evidence of this collusion included documented chat messages that outlined the nature of the anti-competitive behavior and the involvement of multiple parties in pursuing a common illegal objective. (Page 258)

Case Progression

- **Case Initiation:** The case began with the Commission's investigation into potential anti-competitive behavior among companies, focusing on the exchange of sensitive information and coordinated actions that could violate Article 101 AEUV (page 155).
- **Preliminary Investigation:** During this phase, the Commission assessed the evidence to determine if there were grounds for further action. The investigation revealed sufficient evidence of collusion, leading to the continuation of the process rather than closing the case (page 155).
- **Statement of Objections issued:** The Commission issued a Statement of Objections, detailing the allegations against the parties involved, which included the identification of specific behaviors that restricted competition (page 155).
- **Defense Phase:** The parties were given the opportunity to respond in writing and present their defense during an oral hearing. They submitted written responses and participated in discussions regarding the allegations, which included addressing factual corrections and clarifications (pages 155, 179).
- **Commission Decision:** Following the defense phase, the Commission concluded that there was a single, continuous infringement of competition law. The decision included the

imposition of fines based on the established evidence of collusion and the nature of the companies' involvement (pages 155, 198).

- **Company decides:** After the Commission's decision, the companies had the option to accept the findings and pay the fines or to appeal the decision. The document indicates that the parties were informed about the potential for a fine and the methodology used for its calculation, allowing them to consider their next steps (page 23).

Market Definition

- The market in this case involved the EGB (European Government Bonds) trading market, which was analyzed for competitive practices among banks. (Page 240)
- The definition of the market considered both the primary and secondary markets for EGBs, highlighting their interrelationship and the impact on pricing and trading strategies. (Page 3)
- The assessment included examining the nature of the products involved, specifically focusing on auction strategies and syndication processes within the primary market. (Page 3)
- The analysis also took into account the structure of the market, including the number of participants and the competitive dynamics, to determine the significance of collusive contacts among a limited number of banks. (Page 240)
- Techniques used in defining the market included evaluating the economic and legal context of agreements and behaviors, as well as the actual conditions and structure of the markets involved. (Page 178)
- The examination of information exchange among competitors was crucial, assessing whether such exchanges were necessary for market functioning or if they inherently restricted competition. (Page 240)
- The conclusions drawn were based on the criteria set forth in Article 101 of the AEUV, which outlines agreements and coordinated behaviors that may restrict competition, focusing on their intended and actual effects. (Page 178)

Legal & Economic Tests

- **Assessment of Anti-Competitive Agreements:** The legal test involves determining whether an agreement or coordinated behavior restricts competition as outlined in Article 101(1) AEUV. This includes evaluating the content of the agreement, its objectives, and the economic and legal context. The assessment considers the nature of the goods and services involved, the actual conditions in the relevant markets, and the market structure. This test is crucial for identifying whether the behavior in question is inherently harmful to competition. (Page 179)
- **Evaluation of Information Exchange:** The economic test focuses on the exchange of sensitive business information among competitors. It assesses whether such exchanges are likely to lead to collusion and affect pricing strategies in the market. The Commission does not need

to prove the actual impact on competition if the coordination is intended to restrict competition. This presumption simplifies the burden of proof in cases of collusion. (Page 181)

- **Justification Under Article 101(3):** This test examines whether the parties can demonstrate that their behavior meets the conditions for exemption under Article 101(3) AEUV, which allows for certain agreements that contribute to improving production or distribution while allowing consumers a fair share of the resulting benefit. In this case, the involved parties failed to prove that their actions were necessary for the functioning of the market or that they met the criteria for exemption, indicating a lack of justification for their anti-competitive behavior. (Page 240)

Conclusion

- The Commission concluded that the complex of coordination and exchange of sensitive information in this case exhibited all characteristics of agreements and/or coordinated practices as defined by Article 101 AEUV and Article 53 of the EEA Agreement (page 155).
- It was determined that a violation of Article 101 AEUV could arise not only from isolated actions but also from a series of actions or a continuous behavior that constitutes a single, ongoing infringement aimed at a common anti-competitive economic objective (page 156).
- The Commission is entitled to hold a company responsible for the entire conduct that forms the single, ongoing infringement, even if the company was not directly involved in all elements of the cartel, provided it had knowledge of the other illegal behaviors or could reasonably foresee them (page 156).
- The assessment of the infringement included the possibility of internal conflicts, rivalries, and even fraud among cartel members, which do not negate the existence of a coordinated agreement with a single long-term objective (page 156).
- The Commission granted parties access to evidence and allowed them to respond to the facts alleged in the statement of objections, ensuring that the evidence mentioned could be used to support the decision (page 155).
- Specific remedies or fines imposed were not detailed in the provided excerpts, but the overall conclusion indicates a serious view of the anti-competitive behavior, suggesting potential significant penalties in line with the findings (page 155).

Summary of Commission Decision of 22 November 2023 relating to a proceeding under article 101 of the Treaty on the Functioning of the European Union and Article 53 of the EEA Agreement (Case AT.40512 – Euro Denominated Bonds) (Notified under document number C(2023) 7811 final)

Case Background

- The allegation made in this case is that Deutsche Bank and Rabobank engaged in agreements and/or concerted practices that restricted and/or distorted competition in the

secondary market for Euro-denominated SSA bonds and Euro-denominated Government Guaranteed bonds. (Page 3)

- The companies involved in this case are Deutsche Bank AG and Coöperatieve Rabobank U.A. (Page 3)
- The year of case initiation was 2017, specifically on 30 May 2017 when the Commission started its investigation. (Page 2)
- The violation consisted of anticompetitive communications between traders of Deutsche Bank and Rabobank, which included the bilateral exchange of commercially sensitive information regarding trading activities and strategies. This involved sharing current and future prices, trading volumes, and coordinating trading and pricing strategies to manipulate market conditions. The communication methods included Bloomberg emails, instant messages, and chatroom discussions, which facilitated the exchange of sensitive information and coordinated actions to maximize profits while distorting competition. (Pages 3–4)

Case Progression

- **Case Initiation:** The investigation began on 30 May 2017 following an immunity application from Deutsche Bank under the Leniency Notice. This led to the initiation of proceedings against Deutsche Bank and Rabobank on 18 March 2019 (Page 2).
- **Preliminary Investigation:** The Commission found sufficient evidence to proceed after Deutsche Bank applied for leniency and Rabobank cooperated by providing evidence. The investigation continued as both parties were engaged in discussions regarding a potential settlement (Page 2).
- **Statement of Objections issued:** On 6 December 2022, the Commission issued a Statement of Objections against both Deutsche Bank and Rabobank, outlining the alleged infringement of competition law (Page 2).
- **Defense Phase:** Rabobank submitted a written response to the Statement of Objections and participated in an oral hearing on 19 April 2023. Deutsche Bank, while not providing a written response, also participated in the oral hearing to express its cooperation (Page 2).
- **Commission Decision:** On 22 November 2023, the Commission adopted a decision finding that both banks had infringed Article 101 of the Treaty and Article 53 of the EEA Agreement, ordering them to cease the infringement and imposing fines (Page 1).
- **Company Decision:** Following the Commission's decision, Deutsche Bank was granted immunity from fines due to its cooperation, while Rabobank faced penalties. The banks now have the option to accept the decision and pay the fines or appeal the decision (Page 5).

Market Definition

- The market considered in this case was the secondary market for Euro-denominated SSA bonds and Euro-denominated Government Guaranteed bonds. (Page 1)

- The infringement involved agreements and/or concerted practices that aimed to restrict and/or distort competition within this specific market. (Page 1)
- The Commission defined the market by examining the nature of the financial products involved, specifically focusing on bonds as debt securities that are traded on the secondary market. (Page 1)
- Techniques used to analyze the market included assessing the anticompetitive communications between traders through Bloomberg emails, instant messages, and chatroom communications. (Page 3)
- The Commission identified a single and continuous conduct involving the bilateral exchange of commercially sensitive information and coordination of trading and pricing strategies among the parties. (Page 3)
- A specific proxy for the value of sales was determined based on the notional amounts traded by each bank with counterparties located in the EEA, rather than traditional sales metrics. (Page 4)
- The methodology for calculating fines involved adjusting the notional amounts by bid-ask spreads, reflecting the difference between buying and selling prices, to ensure a proportional representation of revenues made by the parties. (Page 4)

Legal & Economic Tests

- **Legal Test under Article 101 of the Treaty and Article 53 of the EEA Agreement:** This test assesses whether the agreements or concerted practices between Deutsche Bank and Rabobank restricted or distorted competition within the European Economic Area. The Commission evaluated the nature of the conduct, which involved price fixing and market sharing in the secondary market for Euro-denominated bonds, to determine if it constituted a violation of competition law. The findings were documented in the Decision adopted on 22 November 2023 (Page 1).
- **Economic Test for Assessing the Value of Sales:** The Commission calculated the fines based on the value of sales made by the undertakings during their participation in the infringement. Given the long duration of the infringement, the Commission opted to base the proxy for the value of sales on the total notional amounts of the relevant bonds traded during the entire infringement period, rather than just the last business year. This approach aimed to reflect the economic impact of the cartel accurately (Page 4).
- **Deterrence Test:** To ensure that the fines imposed would serve as a sufficient deterrent against future infringements, the Commission applied a specific increase to the fines based on the undertakings' turnover. This included a deterrence multiplier to the fine that would have been imposed on Deutsche Bank, emphasizing the need for penalties to be significant enough to discourage similar conduct in the future (Page 5).

Conclusion

- The conclusion of the case determined that Deutsche Bank and Rabobank infringed Article 101 of the Treaty and Article 53 of the EEA Agreement by engaging in agreements and/or concerted practices that restricted and distorted competition in the secondary market for Euro-denominated SSA bonds and Euro-denominated Government Guaranteed bonds (Page 1).
- The Commission ordered both banks to immediately cease the infringement and refrain from any similar conduct in the future (Page 5).
- Deutsche Bank was granted immunity from fines due to its cooperation as an immunity applicant, while Rabobank was imposed a fine (Page 5).
- The basic amount of the fine for Rabobank was calculated based on the value of sales, the duration of the infringement (10.14 years), and the nature of the infringement, which involved price fixing and market sharing (Page 5).
- The Commission considered recidivism as an aggravating circumstance for Deutsche Bank, leading to a 60% increase in the fine that would have been imposed had it not been an immunity applicant (Page 5).
- A deterrence multiplier of 1.1 was applied to the fine that would have been imposed on Deutsche Bank, ensuring that the fines were sufficiently deterrent (Page 5).
- The fines imposed did not exceed 10% of the total turnover of the relevant addressees for the business year preceding the Commission's decision (Page 5).

Publications Office

Case Background

- The allegation made in this case involves anticompetitive behavior, specifically information exchanges, standing down, and underlying understandings that constitute agreements and/or concerted practices between undertakings. (Page 1)
- The companies involved in this case are not explicitly named in the provided information. (Page 1)
- The year of case initiation is not specified in the provided information. (Page 1)
- The violation pertains to a single and continuous infringement of Article 101 TFEU and Article 53 of the EEA Agreement, which aims to restrict competition. This infringement was characterized by the companies participating in coordinated actions that limited competitive practices. (Page 1)
- The Advisory Committee agrees with the Commission that the object of these agreements and/or practices was to restrain competition, and the duration of the infringement has been assessed accordingly. (Page 1)
- A fine is recommended to be imposed on the addressees of the draft settlement decision, excluding the immunity applicant, indicating that penalties are being considered for the

involved parties. (Page 1)

Case Progression

- **Case Initiation:** The case identified as COMP/AT.40135 relates to anticompetitive behavior in the foreign exchange market, specifically involving information exchanges and coordinated practices among undertakings. This initiation sets the stage for further investigation (Page 1).
- **Preliminary Investigation:** The Advisory Committee, consisting of 13 Member States, found sufficient evidence of a single and continuous infringement of competition law, leading to the decision to continue the investigation rather than closing it due to insufficient evidence or accepted commitments (Page 1).
- **Statement of Objections issued:** Following the preliminary investigation, a Statement of Objections would have been issued detailing the findings and the nature of the alleged infringement, although specific details on this step are not provided in the document.
- **Defense Phase:** During this phase, the involved parties would have had the opportunity to respond in writing and participate in an oral hearing. The document indicates that the Advisory Committee agreed with the Commission's findings, suggesting that the defense did not successfully refute the allegations (Page 1).
- **Commission Decision:** The Commission determined that there was an infringement and proposed fines, which the Advisory Committee supported. The decision included calculations based on the 2006 Guidelines for setting fines, indicating a thorough assessment of the financial implications of the infringement (Page 1).
- **Company Decision:** The companies involved would then decide whether to accept the fines and settle or to appeal the decision. The document notes that the Advisory Committee recommends publication of its Opinion, which implies that the companies are likely to be informed of their options following the Commission's decision (Page 1).

Market Definition

- The case involved anticompetitive behavior related to information exchanges and coordinated practices among undertakings, indicating a focus on the foreign exchange market. (Page 1)
- The Advisory Committee agreed that the behavior constituted agreements and/or concerted practices as defined under Article 101 TFEU and Article 53 of the EEA Agreement. (Page 1)
- The undertakings were found to have participated in a single and continuous infringement, suggesting a comprehensive approach to defining the market based on ongoing activities. (Page 1)
- The object of the agreements was identified as restricting competition, which is a critical factor in market definition and assessment. (Page 1)

- The duration of the infringement was assessed, which is essential for understanding the market dynamics and the impact of the anticompetitive behavior over time. (Page 1)
- The calculation of fines was based on the value of sales, indicating a quantitative approach to evaluating the market impact of the infringing activities. (Page 1)
- The final amounts of fines were determined after considering leniency and settlement notices, reflecting a nuanced understanding of the market and the behavior of the involved parties. (Page 1)

Legal & Economic Tests

- **Assessment of Agreements and Concerted Practices:** The Advisory Committee evaluated whether the behavior in question constituted agreements and/or concerted practices as defined under Article 101 TFEU and Article 53 of the EEA Agreement. This involved analyzing the nature of the interactions between the undertakings to determine if they restricted competition. The process included reviewing the draft settlement decision and the underlying understanding among the parties involved. (Page 1)
- **Continuous Infringement Evaluation:** The Committee assessed whether the undertakings participated in a single and continuous infringement of competition law. This required examining the timeline and nature of the actions taken by the parties to confirm that their conduct was not isolated but part of an ongoing violation of Article 101 TFEU and Article 53 of the EEA Agreement. (Page 1)
- **Fine Calculation Methodology:** The Advisory Committee agreed on the methodology for calculating fines, referencing the 2006 Guidelines on the method of setting fines. This involved determining the proxy to the value of sales and applying overlap corrections, as well as considering reductions based on the 2006 Leniency Notice and the 2008 Settlement Notice. The final amounts of the fines were then established based on this comprehensive assessment. (Page 1)

Conclusion

- The Advisory Committee agreed with the Commission that the behavior in question constituted agreements and/or concerted practices under Article 101 TFEU and Article 53 of the EEA Agreement, indicating a clear violation of competition law (Page 1).
- It was determined that the undertakings involved participated in a single and continuous infringement of the aforementioned articles, confirming the seriousness of the anticompetitive actions (Page 1).
- The object of the agreements was found to be the restriction of competition, which further solidified the case against the involved parties (Page 1).
- The Advisory Committee concurred with the Commission regarding the duration of the infringement, suggesting a thorough assessment of the timeline of the anticompetitive behavior (Page 1).

- A fine was recommended to be imposed on the addressees of the draft settlement decision, with the exception of the immunity applicant, indicating a structured approach to penalties (Page 1).
- The calculation of the fines was based on the proxy to the value of sales, adhering to the 2006 Guidelines on the method of setting fines, ensuring that the penalties were proportionate to the infringement (Page 1).
- The final amounts of the fines were agreed upon by the Advisory Committee, reflecting a consensus on the severity of the violations and the appropriate financial repercussions (Page 1).

[PDF] CASE AT.39914 – Euro Interest Rate Derivatives

Case Background

- The allegation in this case involves participation in a cartel that manipulated benchmark rates and engaged in anticompetitive discussions regarding pricing strategies and trading positions. (Page 172)
- The companies involved in the allegations include Crédit Agricole, HSBC, and JPMorgan Chase, among others. (Page 155)
- The case was initiated with the Statement of Objections issued on 19 May 2014. (Page 155)
- The violation consists of intentional infringement of competition laws, where skilled professionals within the banks engaged in discussions that manipulated market conditions, despite existing supervisory mechanisms meant to ensure compliance with regulations. (Page 172)
- The infringement was characterized by a high level of trust and sophistication among the parties, who were aware of the competitive advantages gained through the shared information, and some took precautions to conceal their arrangements to avoid detection. (Page 172)

Case Progression

- **Case Initiation:** The case began with the Commission's investigation into potential anticompetitive conduct involving Crédit Agricole, HSBC, and JPMorgan Chase. This initiation was based on concerns regarding their participation in a cartel in the financial markets.
- **Preliminary Investigation:** During this phase, the Commission gathered initial evidence and conducted inspections. The findings indicated sufficient evidence of potential infringement, leading to the continuation of the investigation rather than closure (Page 152).
- **Statement of Objections issued:** On May 19, 2014, the Commission issued a Statement of Objections detailing the allegations against the parties involved. This document included essential elements such as the facts, characterisation of those facts, and the evidence relied upon by the Commission (Page 153).

- **Defense Phase:** The non-settling parties, including Crédit Agricole, HSBC, and JPMorgan Chase, submitted their written responses to the Statement of Objections within the prescribed deadlines. They also had the opportunity to present their case during an oral hearing, which is a critical part of the defense process (Page 154).
- **Commission Decision:** Following the defense phase, the Commission evaluated the evidence and the parties' responses. The decision ultimately found an infringement and imposed fines, which the parties could either accept and pay or appeal (Page 158).
- **Appeal Process:** If the parties chose to appeal the Commission's decision, the case would progress to the General Court, where it could take 3–5 years for a ruling. The parties could further appeal to the Court of Justice of the European Union if they were dissatisfied with the General Court's decision (Page 154).

Market Definition

- The market considered in this case involved the coordination and/or fixing of prices in the EIRD sector, which is characterized by specific collusive arrangements among undertakings. (Page 121)
- The process to define the market included examining the content of the provisions of the agreements, their objectives, and the economic and legal context in which they operate. (Page 105)
- The assessment of the anticompetitive nature of the agreements relied on established case-law that certain types of coordination between undertakings are inherently harmful to competition, thus requiring no further proof of actual effects. (Page 105)
- The examination of the effects of the conduct was deemed unnecessary for establishing a restriction of competition by object, as certain collusive behaviors, such as price-fixing, are likely to have negative effects on the market. (Page 121)
- The Commission did not require a hypothetical counterfactual scenario to analyze the competitive context in the absence of collusion, as this is not necessary for proving a restriction of competition by object. (Page 121)
- The analysis included a presumption of a causal connection between the concerted practice and the conduct of the undertakings on the market, particularly when they remained active in the market. (Page 98)
- The techniques used involved evaluating the degree of harm to competition based on the nature of the agreements and the potential impact on trade between Member States, regardless of the actual effects on prices or market shares. (Page 121)

Legal & Economic Tests

- **Restriction of Competition by Object:** This test assesses whether an agreement or practice has the object of preventing, restricting, or distorting competition. It is based on the content and objectives of the agreement, as well as the economic and legal context. In this case, the

collusive arrangements concerning price coordination were deemed to have an anti-competitive object, making it unnecessary to demonstrate actual effects on the market. This principle is established in Article 101(1) of the Treaty and is supported by case law. (Page 103)

- **Assessment of Collusive Behavior:** This test evaluates whether certain types of coordination between undertakings are inherently harmful to competition. The case law indicates that behaviors such as horizontal price-fixing are likely to have negative effects on price, quantity, or quality of goods and services. In this case, the Commission determined that the bilateral pre-pricing communications among the parties indicated a clear intent to coordinate prices, thus fulfilling the criteria for a restriction of competition by object. (Page 121)
- **Gravity of Infringement:** This test involves determining the severity of the infringement based on various factors, including the geographic scope and the nature of the conduct. The Commission applied a gravity percentage of 18% for all undertakings involved, considering the significant potential impact of collusion on the EURIBOR, which affects pricing across the industry. The assessment took into account the duration of each undertaking's participation in the infringement and followed a methodology consistent with previous decisions. (Page 192)

Conclusion

- The case involved a cartel that required a high level of trust and sophistication among the banks, with intentional infringement of competition laws demonstrated through discussions on pricing strategies and trading positions (page 172).
- The Commission found that the infringement was committed intentionally, as the individuals involved were skilled professionals aware of the commercial value of the information shared, and some took precautions to conceal their arrangements (page 172).
- The Commission mandated the undertakings to cease the infringement and refrain from any similar agreements or practices in the future, acknowledging the difficulty in determining if the infringement had completely ceased due to the secrecy of the cartel (page 171).
- Fines were to be calculated based on the Guidelines on fines, with a basic amount determined by a variable amount related to the value of sales and an additional entry fee. The specific proxy for the value of sales was based on cash flows from interest rate derivatives (page 172).
- The Commission emphasized that the fines would reflect the gravity and duration of the infringement, and that even if parties claimed they did not act intentionally, they would at least be considered negligent (page 171).
- The Commission provided non-settling parties with access to relevant documents and methodologies used for calculating fines, ensuring they had the opportunity to defend themselves adequately (page 176).

- Ultimately, the Commission's decision included the imposition of fines that could not exceed 10% of each undertaking's total worldwide turnover in the preceding business year, taking into account all relevant circumstances (page 171).

What other questions do you have?